

**A
STUDY
ON
“RISK AND RETURN ANALYSIS”
OF
MARUTI SUZUKI (INDIA)**

Submitted by

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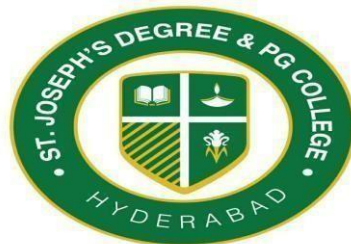
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Project submitted in partial fulfilment for the

award of the Degree of

BACHELOR OF BUSINESS ADMINISTRATION



ST. JOSEPH'S DEGREE & PG COLLEGE

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(AFFILIATED TO OSMANIA UNIVERSITY)

HYDERABAD

DEPARTMENT OF BUSINESS MANAGEMENT

BATCH 2023 – 2026

DECLARATION

I hereby declare that this Project Report titled “**A STUDY ON RISK AND RETURN ANALYSIS OF MARUTI SUZUKI (INDIA)**” submitted by me to the Department of Business Management, St. Joseph’s Degree & PG College (Autonomous), Affiliated to Osmania University, Hyderabad, is a bonafide work undertaken by me and it is not submitted to any other University or Institution for the award of any Degree Diploma / Certificate or published any time before.

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CERTIFICATE

This is to certify that **Mr. Tammi Bharath Raj** bearing Hall Ticket no: **121423406019** a student of BBA (General)-III Year at **St. Joseph's degree & PG College**, King Koti Road, Hyderabad, has successfully completed his project titled "**A study on risk and return analysis of maruti suzuki (india)**"

Under the supervision and guidance of **Mr. Vinay**.

The project was conducted over a period of 45 days from **20 June 2025 to 11 August 2025**.

Mr. Tammi Bharath raj showed dedication, willingness to learn and maintained a professional attitude throughout the internship, this certificate is issued upon successfully completing of the aforementioned project work

We wish the candidate all the success in him future endeavors,

Date: 12th August 2025.

Place: Begumpet, Hyderabad

For Varun Motors Pvt Ltd


Authorized Signature

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ABSTRACT

This project titled “Risk and Return Analysis of Maruti Suzuki (India)” focuses on evaluating the financial performance of the company by analyzing its risk and return over a period of one year. The primary objective of the study is to examine the variability in returns and to understand the relationship between risk and return at the company level. The analysis emphasizes company-specific risk arising from internal factors such as operational efficiency, financial structure, management decisions, and overall business performance.

The study is based on secondary data collected from reliable financial sources. Monthly stock price data of Maruti Suzuki (India) were used to calculate periodic returns. Statistical tools such as average return and standard deviation were applied to measure profitability and variability. Average return was used to assess the earning potential of the stock, while standard deviation was used as a measure of risk to determine the extent of fluctuations in returns during the selected period.

The results of the analysis provide insights into the consistency and stability of returns generated by Maruti Suzuki (India). By examining the level of risk associated with the company’s returns, the study helps in understanding whether higher variability corresponds to higher returns. The findings contribute to a clearer understanding of the risk–return relationship and assist investors in making informed investment decisions based on company-specific performance.

Keywords:

Risk, Return, Unsystematic Risk, Financial Performance, Standard Deviation, Risk–Return Relationship ,Maruti Suzuki (India)

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CHAPTER I
INTRODUCTION

1.1 INTRODUCTION TO THE STUDY

Risk and return analysis is a fundamental concept in finance that examines the relationship between the potential gains from an investment and the risks involved in achieving those gains. Every investment carries some level of uncertainty, and understanding this relationship helps investors and businesses make better financial decisions. While higher returns are often desirable, they usually come with higher levels of risk, making it important to find a balance that matches the investor's goals and risk tolerance.

Risk in investments refers to the possibility of losing some or all of the invested capital or receiving returns lower than expected. This can be influenced by market fluctuations, economic changes, company performance, and industry conditions. Return, on the other hand, represents the profit or gain earned from an investment, usually expressed as a percentage of the initial amount invested. Together, risk and return form the basis of investment decision-making, as investors aim to maximise returns while minimising risk.

Risk and return analysis involves measuring and comparing various investment options to evaluate their potential rewards relative to the risks they carry. Key statistical tools such as average return and standard deviation are used to assess performance. Graphs and charts can further help in visualising trends, making it easier to interpret data. This process is essential for understanding past performance and making informed decisions about future investments.

Understanding the relationship between risk and return is not only useful for investors but also for businesses in planning their long-term strategies. It helps in avoiding poor investment choices, preparing for uncertainties, and identifying opportunities that offer the right balance between profitability and safety. This makes risk and return analysis a valuable approach for improving financial decision-making and ensuring sustainable growth in a competitive market.

1.2 NEED FOR THE STUDY

In today's competitive business world, understanding the connection between risk and return is very important for both companies and investors

This study is needed to analyze how risks are handled and what returns are achieved, especially in the automobile sector. By using Maruti Suzuki's financial data, the study helps in understanding real-world challenges. It also offers insights into how dealerships can manage risks effectively to maintain stable performance. This can be useful for students, investors, and business owners who want to learn more about risk-return relationships in practical situations.

1.3 OBJECTIVES OF THE STUDY

- To understand the concept of risk and return in the automobile sector, especially in dealership operations.
- To identify the relationship between risk and return of Maruti Suzuki during the selected period and understand how volatility affects stock performance.
- To analyze the financial performance of Maruti Suzuki over the past five years using key indicators
- To evaluate yearly variations in average returns and standard deviation in order to observe the stability and consistency of the company's stock performance
- To suggest suitable strategies for minimizing risk and improving returns based on the analysis of Maruti Suzuki's financial performance.

1.4 RESEARCH METHODOLOGY

1.4.1 RESEARCH DESIGN

This study follows a descriptive research design, which means it focuses on explaining and understanding the topic using available data. The main aim is to study how risks

and returns have changed for Maruti Suzuki over the last five years

By studying Maruti Suzuki's past performance, we can get an idea of how market changes, risk levels, and returns might have fluctuated. This approach helps keep the study practical and realistic, as it connects the financial trends. It also makes the findings easier to understand and more relevant to real- world situations.

1.4.2 DATA SOURCES

Finance for historical stock price data and performance trends of Maruti Suzuki This study is based on secondary data collected from reliable and publicly available sources. The data has been taken from the following

- Yahoo finance for historical stock price data and performance trends of Maruti Suzuki.
- Investing.com additional stock-related information used to support the risk and return analysis of Maruti Suzuki

1.4.3 SAMPLE DESIGN

1.4.3.1 PERIOD OF THE STUDY

For this study, the sample size is the financial data of Maruti Suzuki for the past five years (from 2020-2024). This includes the company's stock prices taken from NSE/BSE and Yahoo Finance. These prices are used to calculate the returns and risk for the analysis. Since this study is based only on secondary financial data, no surveys or direct primary data were collected.

1.4.3.2 SAMPLING TECHNIQUES

The study uses purposive sampling, a non-probability sampling method, where data is deliberately chosen to meet the specific objectives of the study. The sample consists of Maruti Suzuki's historical stock price data for the five-year period from 2020 to 2024, as this information is directly relevant for analysing risk and return in relation to Varun Motors.

1.4.4 STATISTICAL TOOLS AND TECHNIQUES USED FOR DATA ANALYSIS

- Monthly Return
$$(\text{current month price} - \text{previous month price}) / (\text{previous month price}) * 100$$
- Average Rate of Return – Shows the average profit or loss of the stock over the study period.
- Standard Deviation – Shows how much the returns change; higher means more risk

These tools are applied to the stock price data collected from Yahoo Finance and investing.com for the last five years.

1.5 SCOPE OF THE STUDY

The scope is limited to Maruti Suzuki's data for the chosen five-year period.

This study focuses on analyzing the risk and return profile of Maruti Suzuki Limited in India over a five-year period from 2020 to 2024. The analysis is based on historical stock price data collected for the selected period.

The study calculates monthly returns, average rate of return (expected return), and standard deviation (overall risk) to evaluate the company's financial performance. These measures are used to understand the level of volatility and the relationship between risk and return during the chosen period.

The scope of the study is limited to the analysis of secondary data related to Maruti Suzuki's stock performance for the selected five years. It does not cover other companies or broader market comparisons beyond the specified time frame

1.5.1 LIMITATIONS OF THE STUDY

- Limited Study Period, The analysis covers only a five-year period (2020– 2024). While this provides a broader view than a single year, it may still not fully capture very long- term market cycles or structural economic changes.

- Data Availability, The study relies on publicly available financial data, which may have minor inconsistencies, gaps, or reporting delays.
- Market Volatility, Sudden changes in market conditions, government policies, or global events during the study period could have influenced the results
- Exclusion of Qualitative Factors, The analysis mainly uses quantitative measures and does not account for qualitative elements like management efficiency, corporate governance, or brand strength.

1.6 CHAPTERISATION

This project consists of five chapters:

1. Chapter I – Introduction

This chapter covers the introduction to the study, including the need and importance of the study, objectives, research methodology, sources of data, and scope of the study.

2. Chapter II – Literature Review

This chapter presents the summary of previous studies, research papers, and articles related to risk and return analysis in the automobile sector.

3. Chapter III – Company Profile

This chapter provides information about Maruti Suzuki and Varun Motors, including their history, operations, products/services, and their role in the automobile market.

4. Chapter IV – Data Presentation, Analysis, and Interpretation

This chapter presents the collected data from secondary sources, calculates risk and return, and interprets the results with the help of tables, graphs, and charts.

5. Chapter V – Findings, Suggestions, and Conclusion

This chapter summarises the findings of the study, provides suggestions based on the analysis, and presents the conclusion. It also covers the limitations of the study and is followed by the bibliography.

CHAPTER II
LITERATURE REVIEW

2.1 MEANING AND DEFINATIONS

RISK AND RETURN ANALYSIS

In finance, risk and return are two fundamental concepts that guide investment decisions.

Risk refers to the uncertainty about the outcome of an investment, meaning the possibility that actual returns will differ from what was expected.

Return represents the profit or loss an investor earns from an investment over a specific period.

The relationship between risk and return is direct: investments that have the potential for higher returns usually carry a higher level of risk. Investors must balance these two factors to make informed decisions.

Risk

Risk refers to the variability of returns from an investment and the possibility of losing some or all of the original investment– Gitman & Zutter

Return

“Return is the gain or loss made on an investment over a certain period, usually expressed as a percentage of the initial investment – Van Horne & Wachowicz

2.2 OBJECTIVES OF PREPERAING RISK AND RETURN ANALYSIS

- Risk and return analysis helps in understanding how Maruti Suzuki’s stock has performed over the last five years (2019–2024), focusing on both the profits earned and the risks faced during this period.
- It measures how much the stock’s returns have gone up or down, showing the level of uncertainty and potential loss for investors.
- The analysis provides an idea of the average returns based on past performance, helping to set realistic expectations for future investments.

2.2.1 FUNCTIONS OF RISK AND RETURN ANALYSIS

- **Evaluating Investment Performance** This function helps in checking how well Maruti Suzuki's stock has performed over the selected five-year period. It takes into account both profitability and volatility, allowing investors to judge whether the stock has been a strong or weak performer.
- **Measuring Risk Levels** Identifies the amount of fluctuation in returns over time. Large fluctuations mean higher uncertainty and greater risk. This helps investors understand the level of safety or danger involved in holding the stock.
- **Estimating Expected Return** Calculates the average return over the study period to provide a realistic idea of what investors might earn. This gives a clearer expectation of future performance based on past trends.
- **Supporting Investment Decisions** The analysis offers essential insights that can help investors and stakeholders decide whether to invest in, hold, or sell the stock, based on its past risk and return profile.
- **Identifying Trends and Patterns** Reveals if the stock's returns are generally improving, declining, or unstable over time. Recognising such trends helps in predicting possible future movements.

2.2.2 TYPES OF RISKS

1. Systematic Risk

This is the risk that affects the entire market and cannot be avoided through diversification. It includes factors like interest rate changes, inflation, economic slowdown, and political instability. Even a well-managed company like Maruti Suzuki is impacted by these risks.

2. Unsystematic Risk

This is company-specific or industry-specific risk. It arises from factors such as poor management decisions, strikes, competition, or supply chain problems. For example, production issues in Maruti Suzuki could affect its stock price and, in turn, Varun

Motors.

3. Financial Risk

This risk comes from a company's use of debt or borrowings. If a company has high debt, changes in interest rates or inability to repay loans can affect its profitability and returns to investors.

4. Operational Risk

This risk arises from failures in internal processes, systems, or human errors within the company. Examples include equipment breakdowns, management inefficiencies, or operational delays that can impact performance.

2.3 CHARACTERISTICS OF RISK AND RETURN ANALYSIS

- **Performance-Focused** This analysis looks at how well Maruti Suzuki's stock has done over time. It checks both the profits earned and how much the returns have gone up and down, giving a clear picture of overall performance.
- **Based on Historical Data** It uses past stock prices and return figures to understand how the investment behaved in earlier years. This helps in forming a realistic view of its risk and return profile.
- **Period-Specific** The study is limited to a set time frame — here, five years (2019–2024). This makes it easier to track and understand performance and risk within that period.
- **Measures Uncertainty** It focuses on how much returns change over time. Bigger changes mean more uncertainty, which signals greater risk for investors.
- **Quantitative in Nature** The analysis is based on numbers — like the average return and standard deviation — which give an objective and clear way to measure performance.
- **Helps in Decision-Making** The results help investors and business owners decide whether it's wise to invest in, keep, or sell the stock by showing the

balance between risk and return.

2.4 IMPORTANCE OF RISK AND RETURN ANALYSIS

- **Investment Decision-Making** Helps investors decide whether to buy, hold, or sell a stock by clearly showing the potential rewards and risks involved.
- **Risk Awareness** Makes investors aware of the level of uncertainty in returns, helping them prepare for possible losses.
- **Performance Tracking** Allows stakeholders to track how Maruti Suzuki's stock has performed over time, spotting patterns and trends in returns.
- **Business Insight for Varun Motors** Provides an understanding of how Maruti Suzuki's market performance could influence Varun Motors' sales and business strategies.
- **Financial Planning** Supports both investors and the company in planning investments more effectively by balancing potential gains with acceptable risk levels.

2.5 PROCESS

- **Choose Relevant Data Sources** Identify and select reliable sources of financial information for Maruti Suzuki, such as historical stock prices, market index data, and economic indicators. For this study, trusted platforms like NSE/BSE, Yahoo Finance, and official company financial reports are used.
- **Collect Historical Price Data** Gather closing stock prices of Maruti Suzuki for the selected study period of five years. The data can be collected daily, weekly, or monthly depending on the analysis approach.
- **Calculate Periodic Returns** Using the price data, compute returns for each period with the formula:
$$\text{Return} = (\text{Current Price} - \text{Previous Price}) / \text{Previous Price}$$

This shows the percentage change in stock prices for each period.

- **Measure Average Return** Find the mean (average) of all calculated returns to get an overall picture of the stock's performance during the five-year period.
- **Determine Risk Using Standard Deviation** Calculate the standard deviation of returns to measure how much the returns fluctuate. A higher value indicates greater volatility and risk.
- **Analyze Trends** Plot graphs and charts to visually observe how returns and risks have changed over time. This helps in identifying patterns and seasonal effects, if any.
- **Interpret Findings** Review the calculated results to evaluate the risk-return profile of Maruti Suzuki's stock and understand how its performance could influence the business prospects of Varun Motors.

2.6 METHODS OF PREPARING THE RISK AND RETURN ANALYSIS

1. Historical Method

This method studies the past performance of a stock to measure its risk and return.

Collect historical price data for the selected period (in this case, five years for Maruti Suzuki).

Calculate returns for each period to understand how the stock has performed

Find the average return to get an overall performance measure.

Measure risk by calculating how much the returns have fluctuated over the period (volatility).

Use graphs and charts to identify patterns and trends

2. Expected Return Method

This method focuses on estimating future returns and risk based on historical trends or expected market conditions.

Use past performance trends to forecast possible future returns.

Consider economic conditions, industry trends, and company performance to refine the estimates.

For more advanced analysis, models such as the Capital Asset Pricing Model (CAPM) can be applied to estimate expected return based on market risk.

The expected risk is measured by analysing how much the possible future returns might vary from the expected average.

2.7 MODELS OF RISK AND RETURN ANALYSIS

Risk and return analysis can be done using different models that help in understanding how much return an investor can expect for the level of risk taken. The main models are as follows

1. Capital Asset Pricing Model (CAPM)

This model explains how the expected return of a stock is related to its market risk. It says that investors should get a return that covers both the time value of money (for waiting) and the risk they are taking. It is one of the most widely used models in finance.

2. Arbitrage Pricing Theory (APT)

APT says that the return of a stock is affected by many different economic and market factors, such as inflation, interest rates, and industry performance. It gives a more flexible view than CAPM because it looks at several influences instead of just one market factor.

3. Single Index Model

This is a simpler model that connects a stock's return only to the performance of a market index like Nifty or Sensex. It studies how much the stock moves in the same direction as the market.

4. Fama–French Three-Factor Model

This model improves on CAPM by adding two more factors in addition to market risk:

Size factor – Smaller companies often give higher returns than larger companies.

Value factor – Cheaper stocks (based on valuation) often give better returns than

expensive ones.

It helps explain stock returns in more detail compared to CAPM alone.

2.8 ADVANTAGES OF RISK AND RETURN ANALYSIS

1. Helps in Making Smarter Investment Choices

It gives investors a clear picture of both the risks and the possible rewards, making it easier to choose the right investment options.

2. Shows Profit Potential and Stability

The analysis not only highlights how much profit an investment can bring but also how consistent those returns are over time

.

3. Spots Risks in Advance

It helps identify possible threats that could reduce returns, giving investors a chance to prepare or take corrective actions early.

4. Supports Better Financial Planning

By knowing the balance between risk and return, individuals and businesses can plan their finances more effectively.

5. Guides Business Decisions

For companies like Varun Motors, it helps in understanding how Maruti Suzuki's market performance might impact their own sales and growth strategies.

DISADVANTAGES OF RISK AND RETURN ANALYSIS

1. Based on Past Data

The analysis mainly uses historical performance, but what happened in the past may not always reflect what will happen in the future.

2. Assumes Stable Market Conditions

It works well when the market is steady, but sudden changes in the economy or politics can make the results less reliable.

3. Can Miss Unexpected Events

Unforeseen situations like natural disasters, policy changes, or global crises are hard to predict and may not be captured in the analysis.

4. Difficult for Beginners

Understanding how to measure and interpret risk and return can be challenging for someone without a finance background.

5. Doesn't Cover Every Factor

While useful, this analysis may not consider all aspects that affect investments, such as investor behavior or sudden global events.

2.9 ARTICLES

1. Risk and Return: A Case of Selected Automobile Stocks Listed at the National Stock Exchange of India

Authors Narayanaswamy T., Urvi Jitendra Sheth, Thamotharan A., Venu Gopal Rao Chowdary (2021)

The study examines risk and return across different automobile segments in India, covering companies from 2009 to 2019. Risk is measured using standard deviation, and returns are based on historical stock data. Maruti Suzuki showed the highest 5-year returns (20%) in the passenger car segment with the lowest risk (3.88%). Leaders in other segments included Ashok Leyland in commercial vehicles and Eicher Motors in motorcycles. The analysis compares segment-wise variations in risk and return.

2. Risk and Return Analysis of Selected Automobile Companies in India (2020–2024)

Authors: Venkata Rao Valluri & Yeddu Mani Kumar

The paper analyzes ten listed Indian automobile companies from 2020–2024 using metrics like standard deviation. Findings show that Tata Motors achieved the highest returns but also carried the highest risk, appealing to aggressive investors. In contrast, Maruti Suzuki and Toyota delivered lower-risk, more stable returns suitable for conservative strategies. Mahindra & Mahindra and TVS Motor exhibited balanced risk–return profiles.

3. Predictive Analysis of Automobile Company Stocks in the Stock Market

Authors: Manjushree M. & Hemanth Kumar

The study examines risk–return dynamics in the Indian automobile industry from 2018 to 2025 using statistical measures such as mean, standard deviation, variance, and beta, focusing on both systematic and unsystematic risks. It analyzes companies like Maruti Suzuki, Tata Motors, Mahindra & Mahindra, and Ashok Leyland. Findings indicate that riskier firms, such as Ashok Leyland, offer higher returns, whereas Maruti Suzuki provides more stable outcomes. Recommendations emphasize diversification and long-term investment strategies.

4. A Study on Impact of Capital Structure on Profitability of Companies with Respect to

Automobile Industry

Authors: P. Aishwarya, Sudharani R, Suresh N (2022)

This study looks at how the mix of debt and equity (capital structure) affects the profitability of 17 Indian automobile companies between 2010 and 2019. It measures performance using indicators like ROCE, ROA, and RONW. By applying statistical models, the research finds that having the right balance between debt and equity can improve a company's performance, lower financial risk, and lead to better returns.

5. Risk and Return Analysis of Selected IT and Automobile Companies Listed on NSE

Source: Research Gate

This study looks at how the mix of debt and equity (capital structure) affects the profitability of 17 Indian automobile companies between 2010 and 2019. It measures performance using indicators like ROCE, ROA,. By applying statistical models, the research finds that having the right balance between debt and equity can improve a company's performance, lower financial risk, and lead to better returns.

6. Financial Risk Analysis of Selected Automobile Industries in India

Source: Research Gate

This study compares Maruti Suzuki with industry peers using measures like Financial Risk Score (FRS), current ratio, and ROI. The findings show that Maruti Suzuki performs moderately overall—it has strong ROI, but its liquidity and financial risk levels are about average. This gives a balanced picture of the company's risk and return position.

7. Risk and Return Analysis of Selected Stocks in the Indian Automobile Industry

Authors: Sudhakar Madhavedi et al. (2024)

This study reviews the performance of automobile companies from 2017 to 2023, looking at market, operational, and regulatory risks using measures like beta, variance, and standard deviation. Companies analyzed include Maruti Suzuki, Tata Motors, and Mahindra. The findings confirm that higher risk is generally linked to higher returns, and Maruti Suzuki continues to be a consistent and stable performer.

8. Portfolio Risk and Return Analysis of Selected Stocks Listed in NSE, India

Source: Research Gate

This study looked at a sample portfolio made up of Maruti Suzuki and Tata Motors. In 2019, the two companies' returns moved in opposite directions (negative correlation), which, along with high fluctuations (variance 1.54), led to a small portfolio loss (-0.655).

But in 2020, the same negative correlation actually worked in favor of investors — the portfolio gave better returns (3.15) and had lower risk (standard deviation ~3.30). This shows that combining these two stocks can provide diversification benefits and help reduce overall risk..

9. A Study on the Financial Statement of Maruti Suzuki

The study describes a financial statement analysis of Maruti Suzuki from 2019–2024 using various ratio-based measures such as profitability (gross/net profit ratio), liquidity, and returns (ROCE, ROA).

The findings show that profitability fluctuated due to cost structures, consumer trends, and the transition to electric vehicles, highlighting strategic challenges that affect the company's returns.

10. Automobiles Industry Data Analysis and Interpretation (Research Methodology Resource)

This research looks at how risky and safe different companies in the auto sector are in the stock market by examining a measure called "beta." For instance, Maruti Suzuki has a beta of about 0.91, suggesting that its stock is less likely to experience sharp drops when the overall market declines. The study compares several companies and shows that firms with lower beta values, like Maruti Suzuki, are considered safer during uncertain times. Overall, it provides a clearer understanding of how much stock prices in the automobile industry might fluctuate and what kind of returns investors can expect.

SUMMARY OF THE ARTICLES

The reviewed articles collectively examine the relationship between risk and return in the Indian automobile sector across different time periods. Most studies use statistical tools such as mean returns, standard deviation, variance, and beta to measure risk, while profitability indicators like ROCE, ROA, and RONW are used to analyse returns. The findings consistently show that Maruti Suzuki, Tata Motors, Mahindra, and Ashok Leyland display different levels of risk and performance depending on their strategies and market conditions. Maruti Suzuki is often seen as a stable and consistent performer with moderate risk and reliable returns. Tata Motors shows higher returns but higher risk, making it attractive to aggressive investors. Mahindra and TVS Motor generally present balanced risk-return profiles, while Ashok Leyland sometimes appears as a riskier firm with fluctuating performance. Some studies also highlight the importance of external factors like fuel prices, competition, and government policies in influencing company returns. A few papers further emphasise that maintaining a proper mix of debt and equity, adopting efficient cost structures, and diversifying portfolios can help companies reduce overall risk and improve long-term returns. Overall, the articles agree that risk and return in the automobile industry vary widely across companies, and informed investment decisions require understanding both historical performance and market trends.

CHAPTER III
INDUSTRY AND COMPANY PROFILE

3.1 INDUSTRY PROFILE

3.1.1 INTRODUCTION TO INDUSTRY

The automobile industry in India is one of the largest and fastest-growing industries in the world. It plays a major role in the country's economic development by contributing to manufacturing output, job creation, exports, and technological advancement. The industry includes a wide range of vehicles such as passenger cars, two-wheelers, commercial vehicles, three-wheelers, electric vehicles, and various auto components. Over the years, India has evolved from a market dominated by foreign collaborations to one of the world's leading automobile hubs with strong domestic manufacturing capabilities.

The growth of the industry began in the early 1950s, but major expansion happened only after the economic liberalization of 1991, when global companies entered India. This competition encouraged innovation, higher production efficiency, and better product quality. Today, India is the world's largest manufacturer of two-wheelers and one of the top producers of passenger cars. Companies like Maruti Suzuki, Hyundai, Tata Motors, Mahindra, Honda, and Toyota have played a crucial role in shaping the industry. India has also become an important export base, shipping vehicles to markets in Africa, Latin America, Europe, and Asia.

The industry is strongly supported by the government through initiatives such as the "Make in India" program, the Automotive Mission Plan (AMP), and the recent promotion of electric mobility. The introduction of BS-VI emission norms in 2020 pushed manufacturers to adopt cleaner, environmentally friendly technologies. At the same time, the government's focus on electric vehicles (EVs) through incentives like FAME II (Faster Adoption and Manufacturing of Hybrid and Electric Vehicles) is encouraging companies to invest in EV infrastructure and production. As a result, several manufacturers have already launched hybrid and electric models, and many more are developing future EV platforms.

The Indian automobile industry also supports a huge auto-components sector, which includes the production of engines, transmissions, brakes, suspension systems, batteries, and electronics. This sector is known for its cost-effective manufacturing and has become a major supplier in global supply chains. The availability of skilled labor,

strong engineering capabilities, and a wide domestic market have helped India become a preferred manufacturing destination.

Despite strong growth, the industry also faces challenges such as fluctuating fuel prices, strict environmental regulations, rising input costs, and competition from global brands. The COVID-19 pandemic caused a temporary slowdown, but the industry recovered quickly due to increased personal mobility needs and improving economic conditions. Recently, consumer preferences have shifted towards SUVs, safety-oriented features, digital connectivity, and environmentally friendly vehicles.

Overall, the automobile industry in India continues to expand steadily, driven by technological upgrades, increasing income levels, improved road infrastructure, and growing urbanization. With ongoing innovation, government support, and rising demand, the industry is expected to remain a major contributor to India's economic progress and global manufacturing presence.

3.1.2 GROWTH OF THE AUTOMOBILE INDUSTRY IN INDIA

Industry in India's as the world's fourth largest by production and valuation as per 2022 statistics. As of 2025, India is the third-largest market in the world in terms of sales. As of April 2022, India's auto industry is worth more than a hundred billion US dollars and accounts for 8% of the country's economy. Total export is 7.1% of India's GDP according to the 2021 national family health survey, 18% of Indian household owners automobile. According to the Government statistics, India has barely photo automobiles, 100 people.

The majority of India's car manufacturing industry is evenly divided into three clusters. In the year 2010 around Chennai was the largest with 35% revenue share, accounting for 60% of countries, automotive exports, and forms of operations of engine factories, including for Hyundai Renault Nissan, BMW the government of India and the need for per agency expedite for publication of standards and development of tests. Work of preparation for the development of approved safety. Critical tasks could be undertaken only after publication of the standard commissioning of the test, and facilities.

Impact of COVID-19 on the Industry

The industry faced a severe slowdown during the COVID-19 pandemic due to lockdowns, supply-chain disruptions, shortage of semiconductors, and reduced

consumer demand. Production fell sharply in 2020, and many companies struggled with inventory and distribution challenges. However, the sector gradually recovered from 2021 onwards due to reopening of markets, recovery of demand, and government support.

Emerging Trends in the Automobile Industry

1. Electric Vehicles (EVs) – India is witnessing a rapid rise in the EV segment, supported by government schemes like FAME-II, state subsidies, and private investments in charging infrastructure.
2. Digitization and Smart Manufacturing – Automation, robotics, data analytics, and digital showrooms are transforming automobile production and sales.
3. Shared Mobility – Ride-sharing, app-based rentals, and subscription models are changing customer buying behaviour.
4. Focus on Safety and Emission Standards – BS-VI norms, compulsory airbags, and stricter crash-test requirements have pushed companies to upgrade their technology.
5. Hybrid and CNG Vehicles – Growing demand for environmentally friendly and fuel-efficient vehicles is encouraging manufacturers to invest in hybrid and CNG models

Role of Passenger Vehicle Segment

The passenger car segment is a crucial part of the Indian automobile market, with consistent demand from families, working professionals, and urban customers. Companies like Maruti Suzuki, Hyundai, Tata Motors, Kia, and Toyota dominate this segment. Among these, Maruti Suzuki continues to hold a leading market share due to its wide range of affordable models, strong service network, and trust among Indian buyers.

Future Outlook

The future of the Indian automobile industry looks promising. Rising urbanization, increasing income levels, improvement in road infrastructure, and the shift towards electric mobility are expected to drive growth in the coming years. The government is also focusing on “Make in India,” which will further boost automobile production and exports.

Overall, the automobile industry in India is dynamic and evolving. With technological advancements, sustainability goals, and changing market preferences, the sector is moving toward a new phase of innovation and growth.

3.1.3 INDIAN GOVERNMENT ACTS FOR REGULATION OF THE AUTOMOBILE INDUSTRY

MOTOR VEHICLE ACT, 1988

The Motor Vehicles Act, 1988 serves as the foundational legal framework for road transport in India encompassing vehicle registration, which is which mandates registration for all vehicles before their permitted on the public roads. Licensing which outlines the procedures and requirements. Safety standards, implements, measures, like handmade seats, belts, et cetera, and penal, which establish fines and punishment for traffic violations.

CENTRAL MOTOR VEHICLE RULES, 1989

Central Motor Vehicle Rules, 1989 provide detailed guidelines on vehicle construction and maintenance which set technical standards. Emission norms control vehicle pollution. Permit regulations, details, and the requirements for commercial and transport work vehicle permits.

ENVIRONMENTAL PROTECTION ACT, 1986

place of a pivotal role in regulating the environmental impact of automobiles to mitigate air pollution. Fuel quality standards that promote the use of cleaner fuels like CNG and LPG. Noise pollution sets permissible noise levels for vehicles to reduce pollution.

FAME INDIA SCHEME

The faster adoption and manufacturing of hybrid and electric vehicles (FAME). This key is a government-initiated aim at promoting electric and hybrid vehicles including some series that provide professional incentives to buyers and manufacturers of electric vehicles. Infrastructure development that focuses on establishing both the country and environmental impact. Aim to reduce dependence on fossil fuels and lower greenhouse gas emissions.

GOODS AND SERVICES TAX (GST) ON AUTOMOBILES

GST has lined the tax structure for the automobile industry with tax rates being taxed at 28% for luxury cars. The impact on pricing is confined tax structure that has simplified pricing and reduced the effect of multiple taxes and the input tax credit

3.1.4 PROFILES OF SELECTED AUTOMOBILE INDUSTRIES IN INDIA

MARUTI SUZUKI

Maruti Suzuki India Limited is as publicly listed Indian subsidiary of Japanese automaker Suzuki Motor Corporation. It is the largest automobile manufacturer in India, specialising and small cars. The company was established by the government of India as Maruti Udyog Ltd in February 1981 as a joint venture with Suzuki, the latter becoming the first Japanese automaker, as well as the first major foreign automaker, to invest in India. Maruti opened its production facility in Gurugram, Haryana, in 1982. Initially, Maruti was majority-owned by the Indian government, with Suzuki only taking a 26% stake during its establishment in 1982. The Indian government gradually reduced its stake, particularly by divesting the business in 2003 by making it a public company and then sold all of its remaining shares to Suzuki Motor Corporation in 2007. Maruti Suzuki has emerged as the largest Suzuki subsidiary in terms of production, volume and sales. As of September 2022, the company had a leading market share of 42% in the Indian passenger car market.

TATA MOTORS

Tata Motors Limited is an Indian multinational automotive company, headquartered in Mumbai and part of the Tata group. The company produces cars, trucks, vans and buses. The company's notable subsidiaries include British Jaguar Land Rover and South Korean Tata Daewoo. Tata Motors has joint ventures with Hitachi (Tata Hitachi construction machinery) and Stellantis, which makes vehicle parts for Fiat Chrysler and Tata-branded vehicles. Tata Motors has auto manufacturing and vehicle plants in Jamshedpur, Patna Nagar, Lucknow, Sanand, Dharwad, and Pune in India, as well as in Argentina, South Africa, the United Kingdom and Thailand. It has research and development centres in Pune, Jamshedpur, Lucknow, Darwan, India and South Korea,

the United Kingdom and Spain. Tata Motors is listed on the BSE and NSE, and is a constituent of the BSE, SENSEX and NIFTY 50 nifty 50 benchmark indices. The company is around 2/65 on the Fortune Global 500 list of the world's biggest corporations as of 2019.

MAHINDRA AND MAHINDRA(M&M)

Mahindra and Mahindra is an Indian automobile manufacturing company headquartered in Mumbai, Maharashtra. It was established in 1945 as Mahindra and Mohammad and later renamed Mahindra and Mahindra part of the Mahindra group, MNM is one of the largest SUV vehicle manufacturers by production in India, the Mahindra tractors subsidiary is the largest manufacturer of tractors in the world by volume. It was ranked 17th on a list of top companies in India by Fortune India 500 in 2018. Its major competitors in the Indian vehicle market include Maruti Suzuki India and Tata Motors. Dr Anish Shah is the current CEO and managing director of Mahindra and Mahindra.

3.1.5 PESTEL ANALYSIS OF THE AUTOMOBILE INDUSTRY

The PESTEL analysis of the automobile nursery shows how different external factors can affect their business. As the lifestyle of people is changing, the automobile industry is also emerging. Analysis of the automobile industry shows the problems that it can face in the future. Thus, it allows companies to find ways to solve them.

POLITICAL FACTORS

The politics of a country has a direct effect on the business operating within its periphery. The PESTEL analysis of the automobile industry shows how political issues can impact the automobile industry.

Most countries' governments have issued regulations regarding the production of automobiles to ensure the safety of passengers. If any company fails to fulfil these requirements, the license may be cancelled. Moreover, the company needs to spend significant time on running before launch, which can be costly at times. The usage of fossil fuels in politics. The automobile manufacturer companies need to keep their costs within a specific range to continue with their business. The automobile industry of a country depended on the government's decision on export and import. If a company can import high-quality parts at a comparatively lower rate, it can have a better profit

margin.

ECONOMIC FACTORS

The lifestyle of people is dependent on the economy of a country. Therefore, it can also impact the automobile industry. Here are some economic issues that can affect the automobile business.

The income of people from stable and emerging economic zones is increasing day by day. Therefore, the pending capacity is also on the rise. It is the demand for cars is going up many countries have imposed taxes on luxury items which have increased the price, and hence a specific section of buyers may not choose to buy one. It may decrease the demand for luxury cars in some countries. However, many companies launch comparatively low-cost products, and they may get more buyers. If the price of automobile parts increases, then the cost of the cars will also increase. It can be a reason for the decrease in demand for automobiles.

SOCIAL FACTORS

The socio-cultural conditions work on the businesses of a land. Social trends, gravely impact the production of cars. The PESTEL analysis of the automobile industry can be found in sociological conditions which can hold upon automobile industry. Cars are not only making statements. Hence, the company needs to consider the choice of people while manufacturing new cars. Otherwise, it may go out a fashion and may not get a good sale. The population distribution of a country also impacts the sales of cars. A state with a dense population and large families tends to have a good sale of big cars like SUVs. The tendency of communities also affects the automobile industry. For example, the countries that have all well-connected services, a smaller number of people. There is also a tendency for developed countries, the possess one or more cars.

TECHNICAL FACTORS

The technological condition immensely impacts the sales of automobile companies. Some technical issues can be worked on in the business of the automobile industry.

The automobile industry is usually dependent on innovative technology to ensure the safety of the people. Companies need to upgrade their technologies to make their cars as safe as possible. The companies need to concentrate on the reduction of emissions and

weight checks. Self-driving cars are already out in the market. Hence, in the future, they may get high demand. The company needs to promote these self-driven cars as electric vehicles, which may gain more customers.

ENVIRONMENTAL FACTORS

The automobile industry can be deeply impacted by ecological issues. As the concern about pollution is increasing, the condition takes a toll on their business. The PESTEL analysis. The automobile industry identifies environmental issues, that can impact the automobile industry.

As animation from the vehicle is a concern for environmentalists. The companies can use their latest technology to manufacture battery-driven or electric cars, which can help decrease the rate of emissions. The governments of the countries are more willing to take up environmental policies to decrease the pollution level, and the automobile manufacturer needs to abide by the rules. Lower the profit margin for automobile manufacturing companies. The research unit rate of the automobile companies needs to be with the testing. They should tribute a unit in the market if only it can pass the pollution test.

LEGAL FACTORS

And regulations in the countries can affect the business of the automobile industry. Most of the countries have lost to companies. Here are some legal issues that can affect the business of the automobile industry.

Many countries have to decrease the number of vehicles on the street, which can help them lower the air pollution level

3.2 COMPANY PROFILE

MARUTI SUZUKI

3.2.1 History Of Maruti Suzuki

Maruti Suzuki India Limited (MSIL), formerly known as Maruti Udyog Limited, is India's largest passenger vehicle manufacturer and a subsidiary of Suzuki Motor Corporation, Japan. The company was incorporated in 1981 as a joint venture between the Government of India and Suzuki Motor Corporation. Its first production facility was set up in Gurugram, Haryana in 1982.

The company's first model, the Maruti 800, launched in December 1983, revolutionised personal mobility in India by making cars affordable to the middle class. Over the years, Maruti Suzuki introduced several popular models, including the Omni, Gypsy, Alto, WagonR, Swift, Baleno, Dzire, Brezza, and Ertiga, which became household names in India.

Initially, the Government of India held a majority stake, but over time, it divested its shareholding. In 2003, the company became a public enterprise, and in 2007, Suzuki Motor Corporation acquired the government's remaining stake, making Maruti Suzuki a subsidiary.

Today, Maruti Suzuki commands over 40% market share in India's passenger vehicle market, operating multiple manufacturing plants in Gurugram, Manesar, and Hansalpur (Gujarat), with a combined production capacity of over 2 million units per year. It exports vehicles to over 100 countries and continues to play a vital role in India's automotive sector.

3.2.2 VISION AND MISSION OF MARUTI SUZUKI

Vision

To be the leader in the Indian automobile industry, creating customer delight and shareholder wealth, a pride of India.

Mission

- To provide high-quality, safe, and reliable vehicles at an affordable price.
- To continuously innovate and bring new technologies to the Indian market.
- To focus on fuel efficiency, low emissions, and sustainable mobility solutions.
- To strengthen customer relationships through value-added **services** and an extensive service network.

Maruti Suzuki's vision is to deliver customer delight through innovation, technology, quality, and value.

Its mission focuses on continuously improving products, investing in new technologies, ensuring environmental sustainability, and strengthening customer relationships.

Core values include

Customer focus

Integrity

Quality

Innovation

Sustainability

Operational excellence

These guiding principles shape every aspect of the company's operations, from manufacturing to sales and after-sales service.

Evolution and Growth

From launching its first model, the iconic Maruti 800 in 1983, the company has grown exponentially. Maruti Suzuki introduced several successful models like Alto, WagonR, Swift, Baleno, Dzire, Brezza, and Ertiga. Many of its cars have remained the highest-selling vehicles in India for several consecutive years.

The company revolutionized the automobile industry by offering:

Affordable pricing

Low maintenance costs

High fuel efficiency

Easy availability of spare parts

A vast and reliable service network

These factors helped Maruti Suzuki dominate the Indian market for more than four decades.

Manufacturing Facilities

Maruti Suzuki has three major manufacturing plants:

1. Gurugram Plant – The company's first plant, known for producing popular models like Alto and WagonR.
2. Manesar Plant – Equipped with advanced robotics and automation, this plant produces Swift, Dzire, and other premium models.
3. Gujarat Plant – One of India's most modern automobile factories, operated by Suzuki Motor Corporation exclusively for Maruti's production needs.

The combined production capacity is over 2.5 million vehicles per year, making Maruti Suzuki one of the largest car producers in Asia.

Product Portfolio

Maruti Suzuki has the widest product range in the Indian passenger vehicle market. It includes

Entry-level hatchbacks – Alto, S-Presso

Compact hatchbacks – WagonR, Celerio

Premium hatchbacks – Baleno, Swift

Sedans – Dzire, Ciaz

SUVs – Brezza, Grand Vitara, Jimny, Fronx

MPVs – Ertiga, XL6

CNG variants – Across most models

Hybrid and smart hybrid models – Grand Vitara & others

This vast portfolio helps Maruti Suzuki cater to a diverse customer base.

Market Share and Industry Position

Maruti Suzuki has consistently held the highest market share in India, ranging from 40% to 50% over the last decade. The company's strong presence in almost every vehicle segment, along with its nationwide network, makes it a dominant force in the industry.

Sales and Service Network

Maruti Suzuki has India's largest automotive network with:

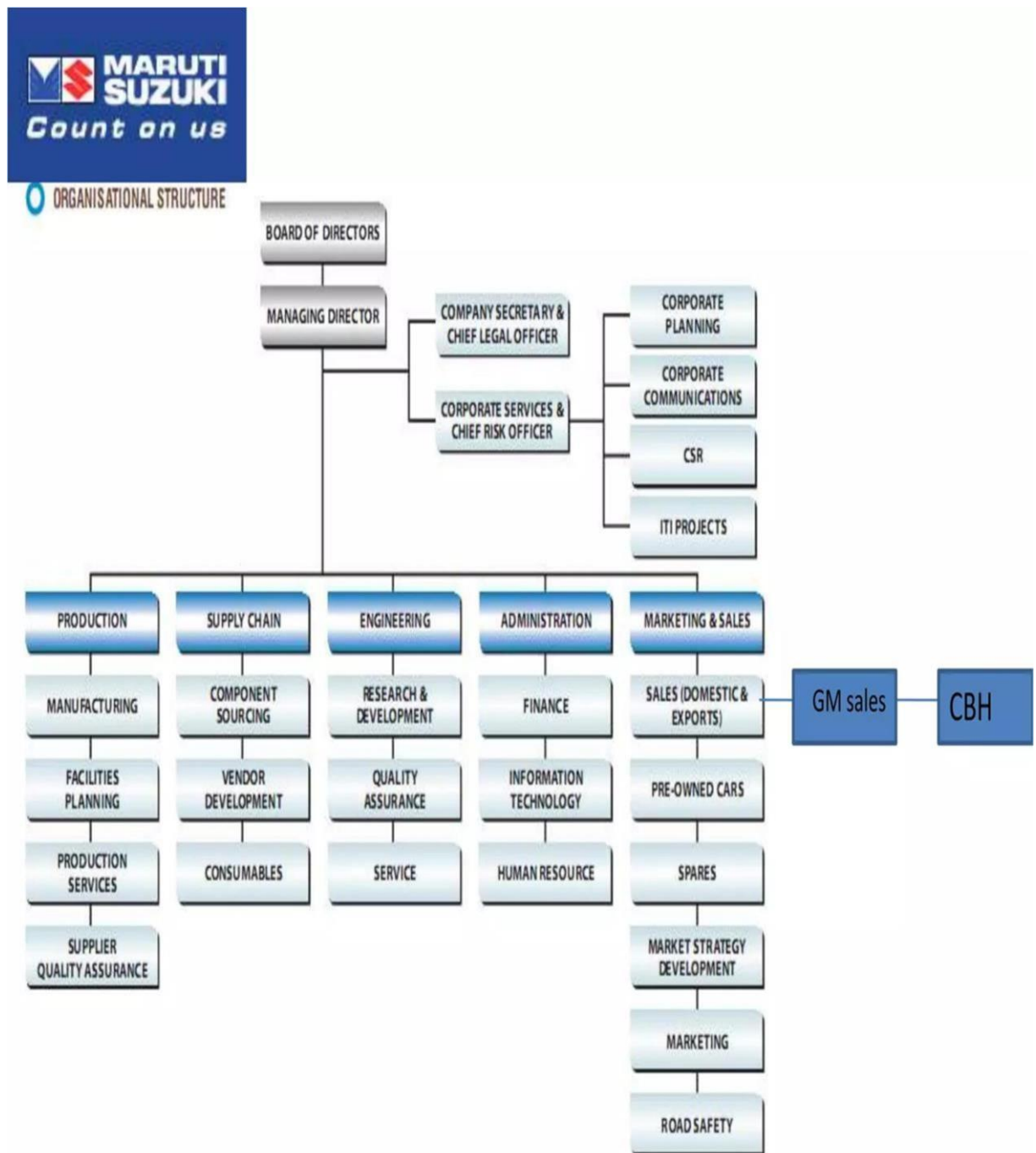
3,500+ sales outlets across 2,000+ cities

4,500+ service workshops

NEXA premium dealership network for high-end customer

Its extensive reach ensures accessibility, convenience, and quick service for customers throughout the country.

3.2.3 ORGANISATION STRUCTURE



Ref: www.marutisuzuki.com/pdf/Organaisational-profile.PDF

Maruti Suzuki follows a hierarchical-cum-functional organisation structure. The top management is led by the Managing Director & CEO, supported by Executive Directors overseeing various functions such as:

- Production & Manufacturing
- Marketing & Sales
- Finance & Accounts
- Research & Development (R&D)
- Human Resources (HR)
- Supply Chain & Vendor Development

Under each function, there are General Managers, Regional Managers, Plant Heads, and operational staff. The structure ensures smooth coordination between manufacturing, sales, service, and corporate functions, enabling the company to handle large-scale operations efficiently.

3.2.4 PRODUCTS AND SERVICES PROVIDED BY THE COMPANY

Passenger Cars

- **Hatchbacks** – Alto K10, S-Presso, WagonR, Celerio, Swift, Baleno, Ignis
- **Sedans** – Dzire, Ciaz
- **SUVs & Crossovers** – Brezza, Grand Vitara, Fronx, Jimny
- **MPVs** – Ertiga, XL6, Eeco

Alternative Fuel Vehicles

- Factory-fitted CNG models across multiple variants.
- Strong-hybrid and mild-hybrid powertrains in select models.
- Electric vehicles in development (launch expected in coming years).

Services

- Maruti Suzuki ARENA & NEXA Showrooms for vehicle sales.
- True Value – Certified pre-owned car sales and exchange services.
- Maruti Suzuki Driving Schools – Professional driver training.
- Maruti Insurance – Motor insurance services.
- Maruti Finance – Vehicle financing solutions in partnership with leading banks.
- Authorised Service Centres – Over 4,900+ service outlets for repairs, servicing.

Research & Development (R&D)

Maruti Suzuki continues to invest heavily in R&D to strengthen product innovation and safety.

Their R&D facility in Rohtak, Haryana is among the largest automotive testing and development centers in India.

Key focus areas include:

Improved fuel efficiency

Safety improvements under India's new crash standards

Electric vehicle feasibility for Indian conditions

CNG and hybrid technologies

Localization of components to reduce cost

The company has also collaborated with Suzuki Japan for electric mobility and advanced automotive technologies.

Market Leadership

Maruti Suzuki has consistently held over 40–45% market share in the Indian passenger vehicle segment for many years.

Some of their most successful models include:

Alto

Swift

Baleno

Dzire

Brezza

Ertiga

These models frequently rank among the top-selling cars in India every year.

The company's strategy focuses on affordability, fuel efficiency, and easy maintenance, which continues to attract first-time car buyers and families across India.

Contributions to the Indian Economy

Maruti Suzuki has had a significant economic impact:

Major contributor to India's manufacturing output

One of the largest employers in the automotive sector

Strong support system for thousands of auto-component suppliers

High export volumes to Africa, Latin America, and Southeast Asia

The company's contributions in terms of taxes, employment, local sourcing, and foreign exchange earnings make it a cornerstone of India's automobile sector.

Sustainability and Green Mobility Initiatives

In recent years, Maruti Suzuki has shifted focus toward sustainable mobility.

Key initiatives include:

Expansion of factory-fitted CNG vehicle lineup, reducing emissions and running costs

Introduction of Smart Hybrid (mild hybrid) technology

Solar energy adoption at manufacturing units

Water recycling and zero-liquid-discharge plants

Plans for future electric vehicle launches under Suzuki partnerships

Maruti Suzuki's emphasis on environmentally friendly technologies aligns with India's sustainability goals.

Customer-Centric Approach

Maruti Suzuki is known for having the largest dealership and service network in India, with:

Over 3,000+ sales outlets

More than 4,000 service workshops across urban and rural areas

This wide network ensures accessibility, convenience, and strong brand loyalty.

The company also operates NEXA, a premium retail channel that offers enhanced customer experience and targets urban premium buyers.

3.2.5 SWOT ANALYSIS

Strengths

Maruti Suzuki holds a dominant ~45% market share in India's passenger vehicle market, making it a leader in affordability and accessibility within the country's auto sector. With 2,987 Arena outlets, 495 Nexa outlets, and 4,964+ service points, Maruti has set up an unmatched presence across India, ensuring wide-reaching customer touchpoints. Maruti Suzuki's highly cost-efficient manufacturing model and a vast vendor network enable it to keep operational costs low while maintaining affordability for consumers. The company's ₹18,000 crore investment in the Kharkhoda plant is set to double its production capacity, ensuring it can meet growing demand in the future. Maruti Suzuki has consistently maintained high brand recall and enjoys best-in-class resale value, securing customer trust and loyalty over decades..

Weaknesses

While competitors like Tata and Hyundai have been quick to enter the electric vehicle (EV) space, Maruti Suzuki's entry with the e-Vitara in 2025 comes late, potentially delaying its competitive edge in the growing EV market. Several Maruti Suzuki models score poorly in safety tests, with some receiving 0-2 stars in Global NCAP ratings, creating a reputational concern for the brand's commitment to safety. The interior quality of Maruti Suzuki vehicles is perceived to be lagging behind competitors like Hyundai and Tata, particularly in the premium segments, affecting its appeal to aspirational buyers. Past labour issues, such as the 2012 Manesar incident, still haunt Maruti Suzuki, affecting its labour relations and operations in some areas.

Opportunities

The launch of the e-Vitara in 2025 is part of Maruti Suzuki's aggressive push into the electric vehicle market. With an investment of ₹10,440 crore, the brand aims to capitalise on the increasing demand for EVs and hybrid vehicles. Maruti Suzuki is tapping into India's rural and aspirational segments by developing new affordable models that cater to emerging income groups, ensuring market penetration in underserved regions. With the growing demand for CNG and hybrid vehicles, Maruti Suzuki is positioned to expand its offerings in these segments, aligning with India's evolving fuel preferences. Maruti Suzuki is exploring app-based subscription, leasing, and finance models to attract younger, urban consumers looking for more flexible car ownership solutions. The collaboration with Toyota for hybrid and EV platforms strengthens Maruti Suzuki's product development capabilities, allowing for shared technologies and expanded market opportunities. The brand aims to expand its export capacities and production capabilities with a target of producing 4 million units annually by 2030, broadening its reach into new global markets. Maruti Suzuki is tapping into India's rural and aspirational segments by developing new affordable models that cater to emerging income groups, ensuring market penetration in underserved regions. With the growing demand for CNG and hybrid vehicles, Maruti Suzuki is positioned to expand its offerings in these segments, aligning with India's evolving fuel preferences. Maruti Suzuki is exploring app-based subscription, leasing, and finance models to attract younger, urban consumers looking for more flexible car ownership solutions.

Threats

Maruti Suzuki faces fierce competition from Tata, Hyundai, and new EV entrants in the SUV and EV markets, impacting its market share in the premium and electric vehicle segments. The introduction of stricter Bharat NCAP and BS VI Phase 2 safety and emission standards is increasing compliance costs, impacting profitability and requiring significant investment in vehicle upgrades. A 16% hike in input costs is compressing Maruti Suzuki's margins, making it difficult to maintain competitive pricing while protecting profit margins. The shrinking demand in the entry-level car market, which dropped to ~25,000 units in FY25, threatens Maruti Suzuki's traditional base of mass-market buyers. Ongoing global volatility and trade risks affect Maruti Suzuki's supply chain, which could disrupt production schedules and impact inventory availability.

3.2.6 CORPORATE SOCIAL RESPONSIBILITY (CSR)

Maruti Suzuki actively engages in CSR activities under key focus areas:

Road Safety

Maruti Suzuki places a very strong emphasis on promoting road safety across India.

The company operates a wide network of Maruti Driving Schools, which provide structured training using simulators, trained instructors, and scientifically designed modules.

Maruti Suzuki also collaborates with state governments, police departments, and NGOs to create awareness about safe driving habits, traffic rules, and reducing road accidents.

Special programs are conducted for school children, college students, auto drivers, and rural communities to teach them about pedestrian safety and responsible road behaviour.

Awareness campaigns such as “Safe Drive, Save Life” and helmet-wearing initiatives are held regularly to build a culture of safety.

Skill Development

Training centres called Automotive Skill Enhancement Centres (ASECs) are set up. The company actively contributes towards building skilled manpower for the automobile industry.

Maruti Suzuki partners with Industrial Training Institutes (ITIs) across the country to upgrade their infrastructure, provide modern equipment, and update training curriculum.

It runs the Skill Enhancement Program to train youth in automobile repair, service workshops, and technical trades, increasing their employability.

Special where students get hands-on exposure to the latest vehicle technology. The company also provides scholarships, instructor training, and certification programs, helping thousands of young people secure jobs in the automotive sector.

Environment

Environmental sustainability is one of the core pillars of Maruti Suzuki's CSR approach.

The company follows energy-efficient manufacturing practices such as recycling heat, reducing water usage, and using renewable energy sources like solar power in its plants.

Maruti Suzuki has introduced CNG, hybrid, and low-emission vehicles to reduce carbon footprint and encourage eco-friendly mobility solutions.

Large-scale afforestation projects, green belts around factories, and tree plantation drives are regularly undertaken to improve air quality.

Water recycling plants, rainwater harvesting, and zero liquid discharge practices ensure that manufacturing processes do not harm the environment.

The company is also working towards reducing plastic waste, promoting reusable materials, and adopting green supply-chain practices.

Community Development

Maruti Suzuki runs various programs aimed at improving the quality of life in communities around its manufacturing units.

The company supports the development of schools, healthcare centres, sanitation facilities, and vocational training centres in rural and semi-urban areas.

It conducts regular health camps, eye check-up camps, and maternal care programs for residents of nearby villages.

During natural disasters or emergencies, Maruti Suzuki provides relief materials, emergency vehicles, and financial aid to support affected families.

The company helps create entrepreneurship opportunities by training local youth and women in small-scale business skills such as tailoring, mechanics, computer basics, and retail.

Programs encouraging education for girl children, digital literacy, and community awareness activities are also part of their CSR initiatives.

Support During National Crises

Maruti Suzuki has actively contributed during situations like the COVID-19 pandemic, where the company provided ventilators, oxygen concentrators, masks, and food supplies.

The company also supported frontline workers with vehicle assistance and medical support.

Employee Welfare & Workplace Safety

Maruti Suzuki focuses on ensuring a safe workplace environment through regular safety drills, training, and advanced safety equipment.

Employee wellbeing programs such as health insurance, mental wellness sessions, and skill-upgradation workshops are regularly conducted.

The company promotes diversity and inclusion by offering equal opportunities and supporting women in technical roles.

Sustainable Mobility & Innovation

Maruti Suzuki invests in research and development of cleaner, smarter, and more efficient mobility solutions.

The company works on innovation projects such as electric vehicle readiness, light-weight components, and improved fuel-efficiency technologies.

Awareness programs are conducted to educate customers on maintaining vehicles in eco-friendly ways.

3.2.7 ACHIEVEMENTS AND AWARDS

ET CIO AWARD 2024 – ENTERPRISE IT EXCELLENCE

Maruti Suzuki was honoured with the prestigious Enterprise IT Excellence Award at ET CIO Awards 2024. This came with exceptional use of information technology to enhance business processes. This prestigious award acknowledges the company's

innovative IT strategies, digital transformation initiatives, and the effective integration of cutting-edge technologies to drive enterprise efficiency and competitiveness.

TiECON Delhi NCR Awards 2024 – DRIVING AUTOMOTIVE REVOLUTION

TiE Delhi-NCR felicitated Maruti Suzuki Innovation for Driving Automotive Revolution at TiECON Delhi NCR. Maruti Suzuki strives to revolutionise the Indian mobility space by supporting innovative startups and joining hands with TiE is a big leap towards it.

BUSINESS LEADER OF THE YEAR 2024 – DIGITAL PERSON OF THE YEAR

The Business Leader of the Year Award celebrates the achievements of an individual who has demonstrated exceptional leadership, innovation and impact within their industry and inspired others. Maruti Suzuki senior leadership was conferred with the awards under the category of digital person of the year 4 steering digital transformation within Maruti Suzuki and supporting technology transforming the Indian automobile landscape digitally.

Varun Maruti has been associated with Maruti Suzuki for aeons and continues to be one of the leading performers in the automobile dealership industry. With the unparalleled trust of our customers and resilient workforce, we became India's No. 1 Maruti Dealer in 2019-20. In addition to that, we've also won the prestigious Maruti Royal Platinum Award for the 16th time this year. Other notable achievements of Varun Maruti for 2019-2020 include:

1. All India No. 1 Maruti Dealer In Retail & Wholesale
2. All India Best Performance – All Channels
3. All India Best Performance – NEXA
4. All India Highest Sales – All Channels
5. All India Highest Sales – Arena and Commercial

CHAPTER IV
DATA ANALYSIS AND INTERPRETATION

DATA ANALYSIS AND INTERPRETATION

INTRODUCTION

This section presents the analysis of risk and return of Maruti Suzuki Limited for the period from 2020 to 2024. The study is based on monthly stock returns, which are used to calculate the average rate of return and standard deviation for each year. The average return helps in understanding the overall performance of the stock, while standard deviation measures the level of risk or volatility associated with those returns.

The objective of this analysis is to examine how the company's returns fluctuated over the five-year period and to understand the level of risk involved in the investment. By comparing yearly returns and risk levels, the study evaluates the stability and performance of the stock under different market conditions.

Further, the calculated results are interpreted with the help of tables and graphical representations to clearly explain trends and patterns. This analysis helps in understanding the relationship between risk and return and provides insights into the company's overall financial performance during the selected period.

4.1 MONTHLY RETURNS, AVERAGE RATE OF RETURNS AND STANDARD DEVIATION (COMPANY RISK),FOR THE YEAR 2020

Date	Price (₹)	Year	Monthly Returns (%)
01-12-2019	₹ 7,368.60	2019	1.694073159
01-01-2020	₹ 6,913.50	2020	-6.176207149
01-02-2020	₹ 6,283.10	2020	-9.118391553
01-03-2020	₹ 4,288.30	2020	-31.7486591
01-04-2020	₹ 5,358.80	2020	24.96327216
01-05-2020	₹ 5,610.80	2020	4.702545346
01-06-2020	₹ 5,838.30	2020	4.054680259
01-07-2020	₹ 6,262.75	2020	7.270095747
01-08-2020	₹ 6,839.95	2020	9.216398547
01-09-2020	₹ 6,743.45	2020	-1.410829027
01-10-2020	₹ 6,965.15	2020	3.287634668
01-11-2020	₹ 7,035.80	2020	1.014335657
01-12-2020	₹ 7,649.60	2020	8.723954632

Monthly Return (%)=

(current month price-previous month price)/(previous month price)*100

Average Rate of Return (2020)

= (Sum of Monthly Returns for all 12 months) ÷ 12

Sum of Monthly Returns (2020)

= -6.176207149 - 9.118391553 - 31.7486591
+ 24.96327216 + 4.702545346 + 4.054680259
+ 7.270095747 + 9.216398547 - 1.410829027
+ 3.287634668 + 1.014335657 + 2.722 = 14.77883018

Average Rate of Return (2020)

= 14.77883018 ÷ 12

$$= 1.231569182 \%$$

Standard Deviation (2020)

$$= \sqrt{[\sum (R_i - \bar{R})^2 \div (N - 1)]}$$

Where

R_i = each monthly return

$$\bar{R} = 1.231569182$$

N = 12

$$\Sigma (R_i - \bar{R})^2 = 1837.52$$

$$SD = \sqrt{(1837.52 \div 11)}$$

$$= \sqrt{167.956}$$

$$= 12.91161512$$

Average rate of

```
return 1.231569182
```

Standard Deviation 12.91161512

INTERPRETATION

In the year 2020, the monthly returns of the company exhibited significant fluctuations, indicating a high level of uncertainty and volatility in stock performance. The Average Rate of Return for the year was 1.2316%, which shows that the company generated a moderate positive average monthly return during the period.

However, the Standard Deviation of 12.9116 indicates a high degree of variability in returns, suggesting that the stock price was highly unstable throughout the year. This volatility was mainly due to sharp negative returns in months such as February and March, followed by strong positive recoveries in months like April, July, and August.

Overall, although the company earned a positive average return in 2020, the high standard deviation reflects higher risk, implying that the returns were inconsistent and subject to frequent fluctuations during the year.

4.2 MONTHLY RETURNS, AVERAGE RATE OF RETURNS AND STANDARD DEVIATION (COMPANY RISK),FOR THE YEAR 2021

Date	Price (₹)	Year	Monthly Returns (%)
01-12-2020	₹ 7,649.60	2020	8.723954632
01-01-2021	₹ 7,206.65	2021	-5.79049885
01-02-2021	₹ 6,866.15	2021	-4.724802786
01-03-2021	₹ 6,859.20	2021	-0.101221208
01-04-2021	₹ 6,455.65	2021	-5.883339165
01-05-2021	₹ 7,086.30	2021	9.768962072
01-06-2021	₹ 7,515.90	2021	6.0624021
01-07-2021	₹ 6,977.70	2021	-7.160819064
01-08-2021	₹ 6,846.10	2021	-1.886008284
01-09-2021	₹ 7,338.05	2021	7.185843035
01-10-2021	₹ 7,482.40	2021	1.96714386
01-11-2021	₹ 7,067.80	2021	-5.541002887
01-12-2021	₹ 7,426.45	2021	5.074422027

Monthly Return (%)=

(current month price-previous month price)/(previous month price)*100

Average Rate of Return

(2021)= (Sum of Monthly

Returns for all 12 months) ÷

12

Average Rate of Return ($\bar{R}$)

= $\Sigma R_i \div N$

= $0.97008087 \div 12$

= -0.08573483

Standard Deviation (2021)

$$SD = \sqrt{[\Sigma (R_i - \bar{R})^2 \div (N - 1)]}$$

Where:

R_i = each monthly return

$$\bar{R} = 0.08084$$

$$N = 12$$

$$\Sigma (R_i - \bar{R})^2 = 365.42$$

Standard Deviation (2021)

$$SD = \sqrt{(365.42 \div 11)}$$

$$SD = \sqrt{33.22}$$

$$SD = 5.76$$

INTERPRETATION

In the year 2021, the monthly returns of the company showed moderate fluctuations, indicating comparatively lower volatility when compared to the previous year. The Average Rate of Return for 2021 was 0.0808%, which shows that the company earned a very small positive average monthly return during the year.

The Standard Deviation of 5.76 indicates moderate risk, suggesting that the returns were relatively more stable and less volatile throughout the year. Although there were some negative returns in certain months such as January, February, April, July, and November, these were offset by positive returns in months like May, June, September, and December.

Overall, the company's performance in 2021 reflects low returns with controlled risk, indicating improved stability in price movements compared to highly volatile periods.

4.3 MONTHLY RETURNS, AVERAGE RATE OF RETURNS AND STANDARD DEVIATION (COMPANY RISK) FOR THE YEAR 2022

Date	Price (₹)	Year	Monthly Returns (%)
01-12-2021	₹ 7,426.45	2021	5.074422027
01-01-2022	₹ 8,597.30	2022	15.7659447
01-02-2022	₹ 8,314.15	2022	-3.293475859
01-03-2022	₹ 7,561.30	2022	-9.055044713
01-04-2022	₹ 7,717.80	2022	2.069749911
01-05-2022	₹ 7,966.35	2022	3.220477338
01-06-2022	₹ 8,470.75	2022	6.331632429
01-07-2022	₹ 8,773.55	2022	3.574653956
01-08-2022	₹ 9,082.25	2022	3.518530127
01-09-2022	₹ 8,828.15	2022	-2.797764871
01-10-2022	₹ 9,527.60	2022	7.922951015
01-11-2022	₹ 8,974.15	2022	-5.808913053
01-12-2022	₹ 8,394.60	2022	-6.457993236

Monthly Return (%)=

(current month price-previous month price)/(previous month price)*100

Average Rate of Return (2022)

= (Sum of Monthly Returns for all 12 months) ÷ 12

Sum of Monthly Returns (2022)

= 15.7659447 – 3.293475859 – 9.055044713
+ 2.069749911 + 3.220471338 + 6.331632429
+ 3.574653956 + 3.518530127 – 2.797764871
+ 7.922951015 – 5.808913053 – 6.457993236
= 14.990741744

Average Rate of Return (2022)

$$= 14.990741744 \div 12$$

$$= 1.249228479 \%$$

Standard Deviation (2022)

$$= \sqrt{[\Sigma (R_i - \bar{R})^2 \div (N - 1)]}$$

Where:

R_i = each month's return

$$\bar{R} = 1.249228979$$

$$N = 12$$

$$\Sigma (R_i - \bar{R})^2 = 548.91$$

SD

$$= \sqrt{(548.91 \div 11)}$$

$$= \sqrt{49.90}$$

$$= 7.0623$$

INTERPRETATION

In the year 2022, the monthly returns of the company showed noticeable fluctuations, indicating moderate volatility in stock performance. The Average Rate of Return for the year was 1.2492%, which suggests that the company generated a moderate positive average monthly return during the period.

The Standard Deviation of 7.0623 reflects a moderate level of risk, showing that the returns varied around the average but were relatively more stable compared to highly volatile periods. Negative returns were observed in certain months such as February, March, September, November, and December, while strong positive returns in months like January, June, October, and August helped offset these losses.

Overall, the company's performance in 2022 indicates a balanced risk–return profile, with reasonable returns achieved at a moderate level of volatility.

4.4 MONTHLY RETURNS, AVERAGE RATE OF RETURNS AND STANDARD DEVIATION (COMPANY RISK),FOR THE YEAR 2023

Date	Price (₹)	Year	Monthly Returns (%)
01-12-2022	₹ 8,394.60	2022	-6.457993236
01-01-2023	₹ 8,895.30	2023	5.964548638
01-02-2023	₹ 8,624.35	2023	-3.045990579
01-03-2023	₹ 8,292.15	2023	-3.85188449
01-04-2023	₹ 8,589.55	2023	3.586524605
01-05-2023	₹ 9,367.70	2023	9.059263873
01-06-2023	₹ 9,789.05	2023	4.497902367
01-07-2023	₹ 9,820.75	2023	0.32383122
01-08-2023	₹ 10,003.80	2023	1.863910597
01-09-2023	₹ 10,610.60	2023	6.065695036
01-10-2023	₹ 10,392.30	2023	-2.057376586
01-11-2023	₹ 10,608.70	2023	2.082310942
01-12-2023	₹ 10,302.35	2023	-2.887724226

Monthly Return (%)=

(current month price-previous month price)/(previous month price)*100

Average Rate of Return (2023)

= (Sum of Monthly Returns for all 12 months) ÷ 12

Sum of Monthly Returns (2023)

= 5.964548638 – 3.045990579 – 3.85188449 + 3.586524605
+ 9.059263873 + 4.497902367 + 0.32383122 + 1.863910597
+ 6.065695036 – 2.057376586 + 2.082310942 – 2.887724226
= 21.601011397

Average Rate of Return (2023)

$$= 21.601011397 \div 12$$

$$= 1.800084283 \%$$

Standard Deviation (2023)

$$SD = \sqrt{[\Sigma (R_i - \bar{R})^2 \div (N - 1)]}$$

Where:

R_i = each monthly return

$$\bar{R} = 1.800084283$$

$$N = 12$$

$$\Sigma (R_i - \bar{R})^2 = 193.19$$

$$SD = \sqrt{(193.19 \div 11)}$$

$$SD = \sqrt{17.562}$$

$$SD = 4.1915$$

INTERPRETATION

In the year 2023, the monthly returns of the company showed moderate fluctuations, indicating a relatively stable performance throughout the year. The Average Rate of Return was 1.8001%, which reflects a consistent positive monthly return on average.

The Standard Deviation of 4.1915 indicates a low to moderate level of risk, suggesting that the monthly returns did not deviate widely from the average. Although some months recorded negative returns, strong positive returns in months such as April, May, August, and October helped maintain overall stability.

Overall, the company's performance in 2023 demonstrates a favourable risk–return trade-off with steady returns and controlled volatility.

4.5 MONTHLY RETURNS, AVERAGE RATE OF RETURNS AND STANDARD DEVIATION (COMPANY RISK) FOR THE YEAR 2024

Date	Price	Year	Monthly Returns (%)
01-12-2023	₹ 10,302.35	2023	-2.887724226
01-01-2024	₹ 10,162.70	2024	-1.355515975
01-02-2024	₹ 11,288.35	2024	11.07628878
01-03-2024	₹ 12,600.35	2024	11.62260206
01-04-2024	₹ 12,817.50	2024	1.723364827
01-05-2024	₹ 12,399.30	2024	-3.262726741
01-06-2024	₹ 12,033.85	2024	-2.947343802
01-07-2024	₹ 13,115.80	2024	8.990888203
01-08-2024	₹ 12,403.00	2024	-5.434666585
01-09-2024	₹ 13,238.00	2024	6.732242199
01-10-2024	₹ 11,076.45	2024	-16.32837287
01-11-2024	₹ 11,074.20	2024	-0.020313368
01-12-2024	₹ 10,858.40	2024	-1.948673493

Monthly Return (%)=

(current month price-previous month price)/(previous month price)*100

Average Rate of Return (2024)

= (Sum of Monthly Returns for all 12 months) ÷ 12

Sum of Monthly Returns (2024)

= (-1.3555 + 11.0763 + 11.6226 + 1.7236 - 3.2622 - 2.9473
+ 8.9909 - 5.4347 + 6.7322 - 16.3284 - 0.0203 - 1.9487)
= 8.8486%

Average Rate of Return (2024)

= 10.11204762 ÷ 12

$$= 0.842670635 \%$$

Standard Deviation (2024)

$$SD = \sqrt{ \sum (R_i - \bar{R})^2 \div (N - 1) }$$

Where:

R_i = Monthly return

$$\bar{R} = 0.74\%$$

$$n = 12$$

$$\sqrt{ \sum (R_i - \bar{R})^2 / (12 - 1) } = \sqrt{(701.48 / 11)}$$

$$\text{Standard Deviation} = 7.99$$

INTERPRETATION

In the year 2024, the company's monthly returns showed considerable fluctuations, indicating a high level of volatility in stock performance. The Average Rate of Return for the year was approximately 0.84%, which reflects a relatively low overall return to investors during the period.

However, the Standard Deviation of 7.99% indicates significant risk, as returns deviated widely from the average.

This suggests that although the company had some months with high positive returns, it also experienced sharp negative returns, making the investment relatively risky. Hence, the company exhibited a low return–high risk profile during the year 2024.

4.6 YEAR WISE RISK AND RETURN ANALYSIS (2020-2024)

Year	Average Rate of Returns (%)	Standard Deviation (%)
2020	1.231569182	12.91161512
2021	−0.08573483	5.696252452
2022	1.249228479	7.06226757
2023	1.800084283	4.013012922
2024	0.737314437	7.645768711

INTERPRETATION

Across the five-year period from 2020 to 2024, Maruti Suzuki's stock showed a mix of high and low returns, along with varying levels of risk. The performance did not follow a steady pattern, and each year behaved differently depending on market conditions, company performance and broader economic events.

In 2020, the company recorded an average rate of return of 1.23% with a very high standard deviation of 12.91%. This indicates that although the returns were positive, the stock was highly volatile and exposed to significant risk during the year.

In 2021, the company experienced a negative average return of −0.09% along with a standard deviation of 5.70%. This reflects lower volatility compared to 2020 but weak performance, as the returns remained slightly negative.

In 2022, the company generated a positive average return of 1.25% with a standard deviation of 7.06%. This suggests moderate returns accompanied by moderate risk, indicating a relatively balanced risk–return position.

In 2023, the company achieved its highest average return of 1.80% with the lowest standard deviation of 4.01%. This shows stable performance with low risk, making 2023 the most favorable year for investors during the period.

In 2024, the average return declined to 0.74% while the standard deviation increased to

7.65%. This indicates increased volatility and lower returns, reflecting a relatively higher risk environment compared to the previous year.

Overall Summary

Across the five-year period from 2020 to 2024, the company's stock performance showed considerable fluctuations in both risk and return. The relationship between risk and return was inconsistent, highlighting the influence of changing market conditions and economic factors on the company's performance.

4.6.1 AVERAGE RATE OF RETURN (2020-2024)

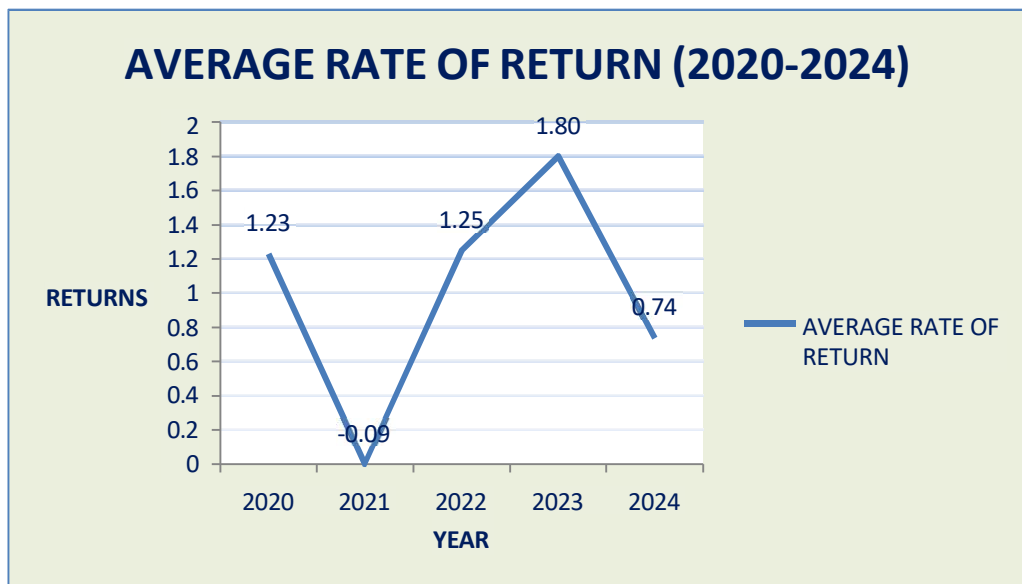


Figure 1

INTERPRETATION OF THE AVERAGE RATE OF RETURNS (2020–2024)

This graph shows how the average yearly returns of Maruti Suzuki changed from 2020 to 2024.

- 2020 Returns were positive (around 1.23%), indicating that the stock performed well during the year.
- 2021 Returns dropped to about -0.08% , showing a slight loss compared to the previous year.
- 2022 The returns increased again to around 1.25%, indicating a recovery in performance.
- 2023 Returns rose further to approximately 1.80%, reflecting strong improvement and the best performance during the period.
- 2024 Returns decreased to around 0.73%, but still remained positive, indicating moderate performance

4.6.2 STANDARD DEVIATION (2020-2024)

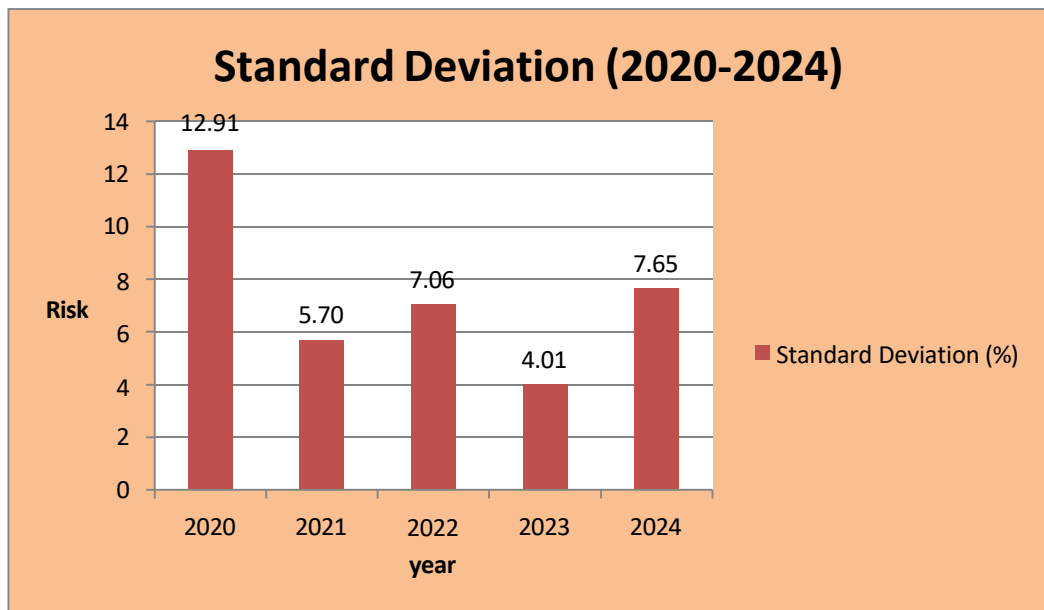


Figure 2

INTERPRETATION OF THE STANDARD DEVIATION (2020–2024)

This graph shows how risky or volatile the Maruti Suzuki stock was from 2020 to 2024. A higher standard deviation means more ups and downs, while a lower value means more stability.

- 2020 The standard deviation was the highest at around 12.91%, indicating very high volatility and risk during the year.
- 2021 The standard deviation decreased to about 5.70%, showing a significant reduction in risk compared to 2020.
- 2022 The standard deviation increased again to approximately 7.06%, indicating moderate risk and increased fluctuations in returns.
- 2023 The standard deviation further declined to around 4.01%, suggesting the lowest risk and the most stable performance during the five-year period.
- 2024 The standard deviation rose to about 7.65%, indicating an increase in volatility and risk compared to the previous year.

4.6.3 RISK AND RETURN (2020-2024)

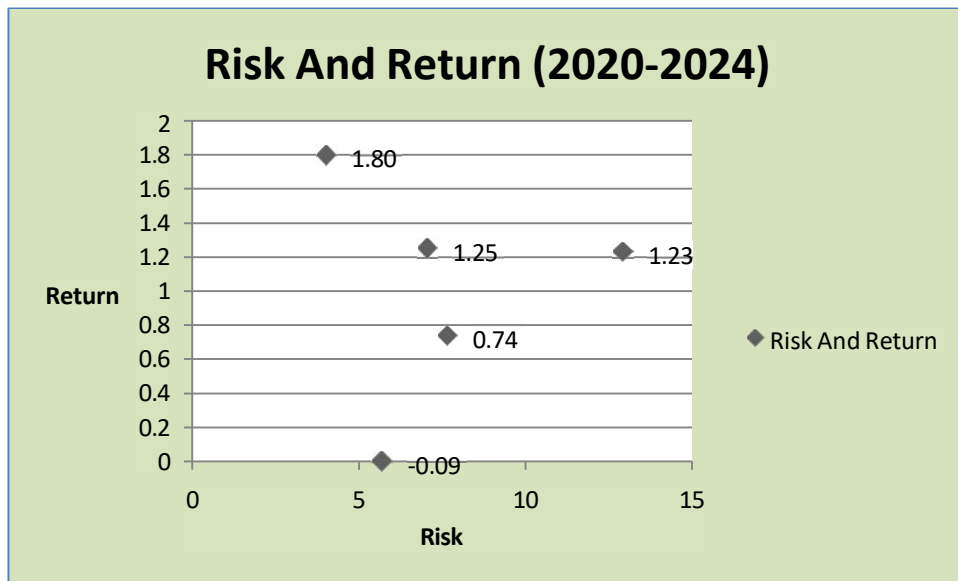


Figure 3

INTERPRETATION OF THE RISK–RETURN SCATTER PLOT (2020-2024)

This scatter plot shows how the risk (standard deviation) and returns of Maruti Suzuki behaved from 2020 to 2024.

- 2020: The stock recorded a moderate return of around 1.23% but at a very high risk level, indicating large fluctuations in returns.
- 2021: Both risk and return were low, with the return slightly negative (around -0.09%), indicating weak performance with relatively lower volatility.
- 2022: The stock showed a moderate return of about 1.25% along with moderate risk, reflecting a balanced risk–return position.
- 2023: The return was the highest at around 1.80% while risk was the lowest, making it the most favorable year in terms of risk–return trade-off.
- 2024: The return declined to about 0.74% with relatively higher risk compared

to 2023, indicating increased volatility with lower returns.

- Overall, the scatter plot shows that the relationship between risk and return was not consistent across the years. While higher returns were sometimes achieved at lower risk (as seen in 2023), in other years higher risk did not always result in higher returns, highlighting the impact of changing market conditions.

CHAPTER V

FINDINGS, SUGGESTIONS AND CONCLUSIONS

FINDINGS, SUGGESTIONS AND CONCLUSIONS

5.1 FINDINGS

- Returns were inconsistent across the five-year period.
Some years recorded positive overall returns (2020, 2022, 2023, and 2024), while one year (2021) showed a slight negative return. This indicates that the stock did not follow a steady or uniform growth pattern.
- The year 2020 showed the highest volatility.
During 2020, returns fluctuated sharply, as reflected by the highest standard deviation (around 12.91%). This indicates very unstable stock movement, largely due to market uncertainty during the pandemic period.
- The year 2021 recorded low returns with moderate risk.
The average return in 2021 was slightly negative (around -0.08%), and although risk was lower than in 2020, the stock failed to generate meaningful gains during the year.
- The year 2022 showed signs of recovery.
The average return improved to around 1.24%, while the standard deviation indicated moderate risk. The stock experienced a mix of positive and negative months but performed better compared to 2021.
- The year 2023 was one of the most stable and favorable years.
Returns increased to about 1.80%, and risk declined to the lowest level among all years (around 4.01%). This suggests improved stability and a better risk–return balance.
- The year 2024 showed low returns with increased risk.
Although returns remained positive at around 0.73%, the standard deviation increased to approximately 7.65%, indicating higher volatility and relatively lower overall gains.

5.2 SUGGESTIONS

- Maruti Suzuki should focus on maintaining stable financial performance and consistent growth to reduce fluctuations in stock returns and improve investor confidence.
- The company should strengthen its electric vehicle (EV) and hybrid vehicle portfolio to stay competitive and reduce long-term business risk arising from changing consumer preferences and regulations.
- Effective cost control measures and improved operational efficiency should be adopted to protect profit margins during periods of economic uncertainty.
- Maruti Suzuki should reduce risk by diversifying its product portfolio and expanding into export markets, thereby minimizing dependence on domestic demand alone.
- Increased investment in research and development will help the company introduce innovative, fuel-efficient, and technologically advanced vehicles, supporting long-term profitability.
- To increase profits, the company should focus on high-margin revenue streams such as after-sales services, spare parts, accessories, financing, and insurance services.
- Adoption of strong risk management strategies to handle raw material price volatility, supply chain disruptions, and market fluctuations will help stabilize earnings.
- A continued focus on sustainability, environmental compliance, and fuel efficiency can enhance brand value and ensure steady long-term growth.

5.3 CONCLUSIONS

The study of Maruti Suzuki's risk and return performance from 2020 to 2024 reveals that the company experienced noticeable fluctuations in both returns and risk levels during the period. While some years recorded positive returns, the overall performance was not consistent, reflecting the impact of changing market conditions, economic uncertainty, and industry dynamics. The analysis shows that higher returns were not always associated with higher risk, indicating an inconsistent risk–return relationship.

Overall, Maruti Suzuki demonstrated resilience and recovery in certain years, particularly in 2023, which showed the most stable and favorable performance. However, periods of increased volatility highlight the need for effective risk management and strategic planning. By focusing on innovation, diversification, cost efficiency, and sustainability, the company can reduce risk and enhance profitability, thereby strengthening its long-term growth prospects and investor confidence.

SCOPE FOR FURTHER STUDY

This study looks only at Maruti Suzuki's stock performance for five years, so future studies can explore many more areas. Researchers can extend the time period to get a clearer picture of long-term trends. They can also compare Maruti Suzuki with other automobile companies to understand how it performs in the industry. More advanced tools like beta or regression can be used to study how the market affects the stock. Future studies can also include factors like government policies, customer behaviour, or economic changes to get a complete view of why prices move the way they do. The research can even be expanded to different dealerships of Maruti Suzuki

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Time Frame						
Monthly						
Download						
01/01/2020 - 12/31/2024						
Date	Price	Open	High	Low	Vol.	Change %
Dec 01, 2024	10,858.40	11,151.00	11,375.95	10,725.00	7.16M	-1.95%
Nov 01, 2024	11,074.20	11,150.00	11,518.15	10,770.00	8.55M	-0.02%
Oct 01, 2024	11,076.45	13,238.00	13,300.45	10,742.45	15.10M	-16.33%
Sep 01, 2024	13,238.00	12,373.00	13,541.65	12,094.70	10.82M	+6.73%
Aug 01, 2024	12,403.00	13,393.00	13,680.00	12,027.65	13.89M	-5.43%
Jul 01, 2024	13,115.80	12,045.00	13,375.00	11,960.00	14.30M	+8.99%
Jun 01, 2024	12,033.85	12,825.00	12,951.60	11,561.45	11.57M	-2.95%
May 01, 2024	12,399.30	12,747.90	13,043.90	12,242.90	6.41M	-3.26%
Apr 01, 2024	12,817.50	12,613.35	13,073.95	12,032.95	10.21M	+1.72%
Mar 01, 2024	12,600.35	11,295.00	12,726.80	11,267.60	10.38M	+11.62%
Feb 01, 2024	11,288.35	10,210.00	11,720.00	10,204.00	11.98M	+11.08%
Jan 01, 2024	10,162.70	10,304.00	10,334.00	9,740.90	9.41M	-1.36%

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Dec 01, 2023	10,302.35	10,608.00	10,932.85	9,832.60	13.34M	-2.89%
Nov 01, 2023	10,608.70	10,390.10	10,649.00	10,188.65	8.00M	+2.08%
Oct 01, 2023	10,392.30	10,709.80	10,845.00	10,090.00	8.96M	-2.06%
Sep 01, 2023	10,610.60	9,999.00	10,720.00	9,951.35	11.87M	+6.07%
Aug 01, 2023	10,003.80	9,760.00	10,065.00	9,254.15	11.78M	+1.86%
Jul 01, 2023	9,820.75	9,742.05	10,036.95	9,525.65	9.04M	+0.32%
Jun 01, 2023	9,789.05	9,337.50	9,853.50	9,222.00	9.07M	+4.50%
May 01, 2023	9,367.70	8,622.70	9,488.80	8,606.00	10.66M	+9.06%
Apr 01, 2023	8,589.55	8,412.85	8,850.00	8,377.10	7.99M	+3.59%
Mar 01, 2023	8,292.15	8,620.00	8,776.25	8,130.00	8.57M	-3.85%
Feb 01, 2023	8,624.35	8,937.00	9,030.45	8,530.00	6.63M	-3.05%
Jan 01, 2023	8,895.30	8,365.00	8,943.85	8,249.15	11.52M	+5.96%

Dec 01, 2022	8,394.60	9,019.05	9,025.00	8,076.05	11.97M	-6.46%
Nov 01, 2022	8,974.15	9,635.00	9,636.90	8,786.00	11.32M	-5.81%
Oct 01, 2022	9,527.60	8,970.00	9,769.00	8,510.00	11.53M	+7.92%
Sep 01, 2022	8,828.15	8,949.95	9,451.00	8,558.20	14.30M	-2.80%
Aug 01, 2022	9,082.25	8,850.00	9,196.85	8,564.00	12.49M	+3.52%
Jul 01, 2022	8,773.55	8,440.00	8,943.00	8,305.60	12.68M	+3.57%
Jun 01, 2022	8,470.75	7,975.05	8,634.60	7,555.00	18.40M	+6.33%
May 01, 2022	7,966.35	7,665.00	8,100.00	7,062.35	14.28M	+3.22%
Apr 01, 2022	7,717.80	7,574.00	8,067.50	7,350.00	11.81M	+2.07%
Mar 01, 2022	7,561.30	8,197.70	8,199.00	6,536.55	25.95M	-9.06%
Feb 01, 2022	8,314.15	8,693.00	9,050.00	8,114.10	14.80M	-3.29%
Jan 01, 2022	8,597.30	7,420.00	8,971.65	7,420.00	17.43M	+15.77%

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Ask WarrenAI

Maruti Suzuki 16,187.00 -95.00 (-0.58%)

Buy

Sell

⬆️

★

Dec 01, 2021	7,426.45	7,191.00	7,640.00	7,021.00	13.52M	+5.07%
Nov 01, 2021	7,067.80	7,401.00	8,368.00	6,990.70	18.12M	-5.54%
Oct 01, 2021	7,482.40	7,220.00	7,814.80	7,090.00	14.70M	+1.97%
Sep 01, 2021	7,338.05	6,799.95	7,521.55	6,702.35	18.75M	+7.19%
Aug 01, 2021	6,846.10	7,100.00	7,248.60	6,591.00	13.09M	-1.89%
Jul 01, 2021	6,977.70	7,500.00	7,690.00	6,936.00	10.63M	-7.16%
Jun 01, 2021	7,515.90	7,107.55	7,698.00	6,821.00	14.79M	+6.06%
May 01, 2021	7,086.30	6,430.00	7,100.00	6,400.00	12.66M	+9.77%
Apr 01, 2021	6,455.65	6,950.00	6,991.50	6,415.00	16.71M	-5.88%
Mar 01, 2021	6,859.20	6,977.00	7,387.00	6,740.00	19.43M	-0.10%
Feb 01, 2021	6,866.15	7,265.20	7,799.00	6,822.20	24.95M	-4.72%
Jan 01, 2021	7,206.65	7,654.00	8,329.00	7,170.00	23.49M	-5.79%

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Dec 01, 2020	7,649.60	7,141.80	8,013.15	6,975.20	25.42M	+8.72%
Nov 01, 2020	7,035.80	7,044.90	7,252.35	6,753.10	23.94M	+1.01%
Oct 01, 2020	6,965.15	6,838.20	7,332.00	6,745.00	21.30M	+3.29%
Sep 01, 2020	6,743.45	6,860.45	7,349.90	6,270.15	27.33M	-1.41%
Aug 01, 2020	6,839.95	6,380.00	7,175.70	6,125.05	26.10M	+9.22%
Jul 01, 2020	6,262.75	5,838.30	6,393.65	5,750.00	30.10M	+7.27%
Jun 01, 2020	5,838.30	5,690.00	6,007.20	5,201.00	35.98M	+4.05%
May 01, 2020	5,610.80	5,096.00	5,666.75	4,637.50	42.62M	+4.70%
Apr 01, 2020	5,358.80	4,290.00	5,602.95	4,001.10	34.45M	+24.96%
Mar 01, 2020	4,288.30	6,400.95	6,480.00	4,030.00	28.27M	-31.75%
Feb 01, 2020	6,283.10	6,915.00	7,231.60	6,103.20	18.52M	-9.12%
Jan 01, 2020	6,913.50	7,377.00	7,569.90	6,895.55	16.44M	-6.18%
Highest: 13,680.00	Lowest: 4,001.10	Difference: 9,678.90	Average: 8,691.50	Change %: 47.36		

